

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF DELAWARE**

JAZZ PHARMACEUTICALS, INC.,

Plaintiff,

v.

AVADEL CNS PHARMACEUTICALS,
LLC,

Defendant.

C.A. No. 1:21-cv-00691-GBW

AMENDED COMPLAINT FOR PATENT INFRINGEMENT

Plaintiff Jazz Pharmaceuticals, Inc. (“Jazz Pharmaceuticals” or “Plaintiff”), by its undersigned attorneys, for its Complaint against Defendant Avadel CNS Pharmaceuticals, LLC (“Avadel” or “Defendant”), alleges as follows:

Nature of the Action

1. This is an action for patent infringement under the patent laws of the United States, 35 U.S.C. §100, *et seq.*, arising from Avadel’s filing of a New Drug Application (“NDA”) with the United States Food and Drug Administration (“FDA”) seeking approval to commercially market a sodium oxybate drug product prior to the expiration of United States Patent Nos. 10,758,488 (the “’488 patent”), 10,813,885 (the “’885 patent”), 10,959,956 (the “’956 patent”), and 10,966,931 (the “’931 patent”) owned by Jazz Pharmaceuticals (collectively, “the patents-in-suit”), and the FDA’s subsequent approval thereof.

The Parties

2. Plaintiff Jazz Pharmaceuticals, Inc. is a corporation organized and existing under the laws of the State of Delaware, having a principal place of business at 3170 Porter Drive, Palo Alto, California 94304.

3. On information and belief, Defendant Avadel CNS Pharmaceuticals, LLC is a limited liability company organized and existing under the laws of the State of Delaware, having a principal place of business at 16640 Chesterfield Grove Road, Suite 200, Chesterfield, Missouri 63005. On information and belief, Defendant is in the business of, *inter alia*, developing, manufacturing, marketing, importing, offering for sale, and selling pharmaceutical products throughout the United States, including within this District, either on its own or through its affiliates, including Avadel US Holdings, Inc., Avadel Specialty Pharmaceuticals, LLC, Avadel Legacy Pharmaceuticals, LLC, and Avadel Management Corporation.

4. On information and belief, Defendant has made, used, offered to sell, and/or sold the product that is the subject of its NDA for a sodium oxybate product throughout the United States, and/or imported such a product into the United States and will make, use, offer to sell, and/or sell the product that is the subject of its NDA for a sodium oxybate product throughout the United States, and/or import such a product into the United States.

Jurisdiction and Venue

5. This Court has jurisdiction over the subject matter of this action pursuant to 28 U.S.C. §§ 1331 and 1338(a).

6. On information and belief, Defendant is subject to personal jurisdiction in Delaware because Defendant has purposely availed itself of the benefits and protections of Delaware's laws such that it should reasonably anticipate being haled into court in Delaware. Defendant is a limited liability company organized and existing under the laws of the State of Delaware. On information and belief, Defendant manufactures, markets, imports, offers for sale, and/or sells drug products throughout the United States and within the State of Delaware and, therefore, transacts business within the State of Delaware related to Plaintiff's claims, and/or has engaged in systematic and continuous business contacts within the State of Delaware. On information and belief, Defendant

is registered to do business in Delaware (business identification number 7734658) and has appointed Corporate Creations Network Inc., located at 3411 Silverside Road Tatnall, Building, Suite 104, Wilmington, Delaware 19810, as its registered agent for the receipt of service of process.

7. On information and belief, by virtue of, *inter alia*, Defendant's continuous and systematic contacts with Delaware, including, but not limited to, the above-described contacts, and the actions on behalf of Defendant in connection with its NDA seeking FDA approval to commercially market a sodium oxybate drug product, this Court has personal jurisdiction over Defendant. These activities satisfy due process and confer personal jurisdiction over Defendant consistent with Delaware law.

8. Venue is proper in this District pursuant to 28 U.S.C. §§ 1391 and 1400(b).

The Patents-In-Suit

9. "On September 1, 2020, the United States Patent and Trademark Office ("USPTO") duly and lawfully issued the '488 patent entitled, "Controlled Release Dosage Forms for High Dose, Water Soluble and Hygroscopic Drug Substances." A copy of the '488 patent is attached hereto as Exhibit A.

10. On October 27, 2020, the USPTO duly and lawfully issued the '885 patent entitled, "Controlled Release Dosage Forms for High Dose, Water Soluble and Hygroscopic Drug Substances." A copy of the '885 patent is attached hereto as Exhibit B.

11. On March 30, 2021, the USPTO duly and lawfully issued the '956 patent entitled, "Controlled Release Dosage Forms for High Dose, Water Soluble and Hygroscopic Drug Substances." A copy of the '956 patent is attached hereto as Exhibit C.

12. On April 6, 2021, the USPTO duly and lawfully issued the '931 patent entitled, "Controlled Release Dosage Forms for High Dose, Water Soluble and Hygroscopic Drug Substances." A copy of the '931 patent is attached hereto as Exhibit D.

13. The claims of the patents-in-suit cover, *inter alia*, methods of use and administration of sodium oxybate or pharmaceutical compositions containing sodium oxybate. Jazz Pharmaceuticals owns the patents-in-suit.

Background

14. Jazz Pharmaceuticals holds an approved New Drug Application ("NDA") under Section 505(a) of the Federal Food, Drug, and Cosmetic Act ("FFDCA"), 21 U.S.C. § 355(a), for sodium oxybate oral solution (NDA No. 21-196), which it sells under the trade name XYREM®.

Acts Giving Rise to This Suit

15. Pursuant to Section 505(b)(2) of the FFDCA, Avadel filed an NDA ("Avadel's NDA") seeking approval to engage in the commercial manufacture, use, sale, offer for sale, or importation of a sodium oxybate product ("Avadel's Proposed Product"), before the patents-in-suit expire.

16. On December 16, 2020, Avadel announced the submission of its NDA to the FDA. On information and belief, on February 26, 2021, the FDA notified Avadel of formal acceptance of Avadel's NDA with an assigned Prescription Drug User Fee Act ("PDUFA") target action date of October 15, 2021.¹

¹ See Avadel's 2020 Annual Report at p. 7 (available at <https://www.sec.gov/ix?doc=/Archives/edgar/data/1012477/000101247721000004/avdl-20201231.htm>)

17. Avadel has identified its Proposed Product using both the code name FT218² and the commercial name LUMRYZ™.

18. Avadel has published data comparing the pharmacokinetic properties of Avadel's Proposed Product with twice-nightly sodium oxybate (*i.e.*, XYREM®).³

19. Avadel owns U.S. Patent No. 10,272,062 ("Avadel's '062 patent") entitled "Modified Release Gamma-Hydroxybutyrate Formulations Having Improved Pharmacokinetics," attached hereto as Exhibit F.

20. On information and belief, Avadel's published data concerning the pharmacokinetic properties of Avadel's Proposed Product correspond to the Examples of Avadel's '062 patent.

21. At least Example 1 and Example 1bis of Avadel's '062 patent are covered by Jazz Pharmaceuticals' '488, '885, '956, and '931 patents.

22. On information and belief, Avadel has made, and continues to make, substantial preparation in the United States to manufacture, offer to sell, sell, and/or import Avadel's Proposed Product prior to expiration of the patents-in-suit. For example, on information and belief, Avadel received permission from FDA to import into the United States commercially manufactured batches of its Proposed Product.

23. On information and belief, on May 1, 2023, Avadel received final approval of its NDA from the FDA, and Avadel has indicated to Jazz Pharmaceuticals that it intends to commercialize its Proposed Product on or about June 1, 2023.

² See *id.*

³ Seiden, et al., *Pharmacokinetics of FT218, a Once-Nightly Sodium Oxybate Formulation in Healthy Adults*, Clin. Ther. 2021 Feb 22; S0149-2918(21)00044-8; doi: 10.1016/j.clinthera.2021.01.017, attached hereto as Exhibit E.

Count I: Infringement of the '488 Patent

24. Plaintiff repeats and realleges the allegations of the preceding paragraphs as if fully set forth herein.

25. Avadel, by the submission of its NDA to the FDA, sought approval to engage in the commercial manufacture, use, offer for sale, sale, and/or importation into the United States of Avadel's Proposed Product, prior to the expiration of the '488 patent.

26. Avadel's NDA had been pending before the FDA since at least December 16, 2020, the date that Avadel announced the submission of its NDA to the FDA.

27. On May 1, 2023, Avadel received final approval of its NDA from the FDA, and Avadel has indicated to Jazz Pharmaceuticals that it intends to commercialize its Proposed Product on or about June 1, 2023.

28. There is a justiciable controversy between the parties hereto as to the infringement of the '488 patent.

29. Avadel has made, and will continue to make, substantial preparation in the United States to manufacture, offer to sell, sell and/or import Avadel's Proposed Product prior to the expiration of the '488 patent. For example, on information and belief, Avadel received permission from FDA to import into the United States commercially manufactured batches of its Proposed Product and has imported the product.

30. Avadel has infringed and will infringe one or more claims of the '488 patent under 35 U.S.C. § 271(a), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States.

31. Avadel has induced infringement and will induce infringement of one or more claims of the '488 patent under 35 U.S.C. § 271(b), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On

information and belief, Avadel has encouraged and will encourage acts of direct infringement with knowledge of the '488 patent and knowledge that its acts are encouraging infringement, with specific intent to induce infringement of the '488 patent.

32. Avadel has contributorily infringed and will contributorily infringe one or more claims of the '488 patent under 35 U.S.C. § 271(c), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On information and belief, Avadel has had and continues to have knowledge that Avadel's Proposed Product is especially adapted for a use that infringes one or more claims of the '488 patent and that there is no substantial non-infringing use for Avadel's Proposed Product.

33. Plaintiff will be substantially and irreparably damaged and harmed if Avadel's infringement of the '488 patent is not enjoined.

34. Plaintiff is entitled to a judgment that the commercial manufacture, use, offer for sale, sale, and/or importation of Avadel's Proposed Product prior to expiration of the '488 patent by Avadel has constituted and will constitute direct infringement, induced infringement, and/or contributory infringement of the '488 patent.

35. Plaintiff does not have an adequate remedy at law.

36. This case is an exceptional one, and Plaintiff is entitled to an award of its reasonable attorneys' fees under 35 U.S.C. § 285.

Count II: Infringement of the '885 Patent

37. Plaintiff repeats and realleges the allegations of the preceding paragraphs as if fully set forth herein.

38. Avadel, by the submission of its NDA to the FDA, sought approval to engage in the commercial manufacture, use, offer for sale, sale, and/or importation into the United States of Avadel's Proposed Product, prior to the expiration of the '885 patent.

39. Avadel's NDA had been pending before the FDA since at least December 16, 2020, the date that Avadel announced the submission of its NDA to the FDA.

40. On May 1, 2023, Avadel received final approval of its NDA from the FDA, and Avadel has indicated to Jazz Pharmaceuticals that it intends to commercialize its Proposed Product on or about June 1, 2023.

41. There is a justiciable controversy between the parties hereto as to the infringement of the '885 patent.

42. Avadel has made, and will continue to make, substantial preparation in the United States to manufacture, offer to sell, sell and/or import Avadel's Proposed Product prior to the expiration of the '885 patent. For example, on information and belief, Avadel received permission from FDA to import into the United States commercially manufactured batches of its Proposed Product and has imported the product.

43. Avadel has infringed and will infringe one or more claims of the '885 patent under 35 U.S.C. § 271(a), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States.

44. Avadel has induced infringement and will induce infringement of one or more claims of the '885 patent under 35 U.S.C. § 271(b), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On information and belief, Avadel has encouraged and will encourage acts of direct infringement with knowledge of the '885 patent and knowledge that its acts are encouraging infringement, with specific intent to induce infringement of the '885 patent.

45. Avadel has contributorily infringed and will contributorily infringe one or more claims of the '885 patent under 35 U.S.C. § 271(c), including at least claim 1, by making, using,

offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On information and belief, Avadel has had and continues to have knowledge that Avadel's Proposed Product is especially adapted for a use that infringes one or more claims of the '885 patent and that there is no substantial non-infringing use for Avadel's Proposed Product.

46. Plaintiff will be substantially and irreparably damaged and harmed if Avadel's infringement of the '885 patent is not enjoined.

47. Plaintiff is entitled to a judgment that the commercial manufacture, use, offer for sale, sale, and/or importation of Avadel's Proposed Product prior to expiration of the '885 patent by Avadel has constituted and will constitute direct infringement, induced infringement, and/or contributory infringement of the '885 patent.

48. Plaintiff does not have an adequate remedy at law.

49. This case is an exceptional one, and Plaintiff is entitled to an award of its reasonable attorneys' fees under 35 U.S.C. § 285.

Count III: Infringement of the '956 Patent

50. Plaintiff repeats and realleges the allegations of the preceding paragraphs as if fully set forth herein.

51. Avadel, by the submission of its NDA to the FDA, sought approval to engage in the commercial manufacture, use, offer for sale, sale, and/or importation into the United States of Avadel's Proposed Product, prior to the expiration of the '956 patent.

52. Avadel's NDA had been pending before the FDA since at least December 16, 2020, the date that Avadel announced the submission of its NDA to the FDA.

53. On May 1, 2023, Avadel received final approval of its NDA from the FDA, and Avadel has indicated to Jazz Pharmaceuticals that it intends to commercialize its Proposed Product on or about June 1, 2023.

54. There is a justiciable controversy between the parties hereto as to the infringement of the '956 patent.

55. Avadel has made, and will continue to make, substantial preparation in the United States to manufacture, offer to sell, sell and/or import Avadel's Proposed Product prior to the expiration of the '956 patent. For example, on information and belief, Avadel received permission from FDA to import into the United States commercially manufactured batches of its Proposed Product and has imported the product.

56. Avadel has infringed and will infringe one or more claims of the '956 patent under 35 U.S.C. § 271(a), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States.

57. Avadel has induced infringement and will induce infringement of one or more claims of the '956 patent under 35 U.S.C. § 271(b), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On information and belief, Avadel has encouraged and will encourage acts of direct infringement with knowledge of the '956 patent and knowledge that its acts are encouraging infringement, with specific intent to induce infringement of the '956 patent.

58. Avadel has contributorily infringed and will contributorily infringe one or more claims of the '956 patent under 35 U.S.C. § 271(c), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On information and belief, Avadel has had and continues to have knowledge that Avadel's Proposed Product is especially adapted for a use that infringes one or more claims of the '956 patent and that there is no substantial non-infringing use for Avadel's Proposed Product.

59. Plaintiff will be substantially and irreparably damaged and harmed if Avadel's infringement of the '956 patent is not enjoined.

60. Plaintiff is entitled to a judgment that the commercial manufacture, use, offer for sale, sale, and/or importation of Avadel's Proposed Product prior to expiration of the '956 patent by Avadel has constituted and will constitute direct infringement, induced infringement, and/or contributory infringement of the '956 patent.

61. Plaintiff does not have an adequate remedy at law.

62. This case is an exceptional one, and Plaintiff is entitled to an award of its reasonable attorneys' fees under 35 U.S.C. § 285.

Count IV: Infringement of the '931 Patent

63. Plaintiff repeats and realleges the allegations of the preceding paragraphs as if fully set forth herein.

64. Avadel, by the submission of its NDA to the FDA, sought approval to engage in the commercial manufacture, use, offer for sale, sale, and/or importation into the United States of Avadel's Proposed Product, prior to the expiration of the '931 patent.

65. Avadel's NDA had been pending before the FDA since at least December 16, 2020, the date that Avadel announced the submission of its NDA to the FDA.

66. On May 1, 2023, Avadel received final approval of its NDA from the FDA, and Avadel has indicated to Jazz Pharmaceuticals that it intends to commercialize its Proposed Product on or about June 1, 2023.

67. There is a justiciable controversy between the parties hereto as to the infringement of the '931 patent.

68. Avadel has made, and will continue to make, substantial preparation in the United States to manufacture, offer to sell, sell and/or import Avadel's Proposed Product prior to the

expiration of the '931 patent. For example, on information and belief, Avadel received permission from FDA to import into the United States commercially manufactured batches of its Proposed Product and has imported the product.

69. Avadel has infringed and will infringe one or more claims of the '931 patent under 35 U.S.C. § 271(a), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States.

70. Avadel has induced infringement and will induce infringement of one or more claims of the '931 patent under 35 U.S.C. § 271(b), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On information and belief, Avadel has encouraged and will encourage acts of direct infringement with knowledge of the '931 patent and knowledge that its acts are encouraging infringement, with specific intent to induce infringement of the '931 patent.

71. Avadel has contributorily infringed and will contributorily infringe one or more claims of the '931 patent under 35 U.S.C. § 271(c), including at least claim 1, by making, using, offering to sell, selling, and/or importing Avadel's Proposed Product in the United States. On information and belief, Avadel has had and continues to have knowledge that Avadel's Proposed Product is especially adapted for a use that infringes one or more claims of the '931 patent and that there is no substantial non-infringing use for Avadel's Proposed Product.

72. Plaintiff will be substantially and irreparably damaged and harmed if Avadel's infringement of the '931 patent is not enjoined.

73. Plaintiff is entitled to a judgment that the commercial manufacture, use, offer for sale, sale, and/or importation of Avadel's Proposed Product prior to expiration of the '931 patent

by Avadel has constituted and will constitute direct infringement, induced infringement, and/or contributory infringement of the '931 patent.

74. Plaintiff does not have an adequate remedy at law.

75. This case is an exceptional one, and Plaintiff is entitled to an award of its reasonable attorneys' fees under 35 U.S.C. § 285.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff respectfully requests the following relief:

(A) A Judgment be entered that Avadel has infringed, and that Avadel's making, using, selling, offering to sell, and/or importing Avadel's Proposed Product will infringe one or more claims of the patents-in-suit;

(B) A permanent injunction enjoining Avadel and its officers, agents, attorneys and employees, and those acting in privity and/or concert with them, from making, using, selling, offering to sell, and/or importing Avadel's Proposed Product until after the expiration of the patents-in-suit, or any later expiration of exclusivity to which Plaintiff is or becomes entitled;

(C) A Judgment that the commercial manufacture, use, sale, or offer for sale, and/or importation into the United States of Avadel's Proposed Product has and will directly infringe, induce, and/or contribute to infringement of the patents-in-suit;

(D) To the extent that Avadel has committed any acts with respect to the compositions or methods claimed in the patents-in-suit, other than those acts expressly exempted by 35 U.S.C. § 271(e)(1), that Plaintiff be awarded damages for such acts;

(E) A Judgment awarding damages to Plaintiff resulting from Avadel's infringement of the patents-in-suit pursuant to 35 U.S.C. § 284, including no less than a reasonable royalty, together with pre-judgment and post-judgment interest and costs as fixed by the Court;

(F) That the Court award, in lieu of a permanent injunction, an ongoing royalty;

- (G) That the Court order an accounting of damages;
- (H) Attorneys' fees in this action as an exceptional case pursuant to 35 U.S.C. § 285;
- (I) Costs and expenses in this action; and
- (J) Such further and other relief as this Court may deem just and proper.

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